



YOGA BAR

# Profitable Quick-Commerce Scale-Up Strategy

*A Business Strategy Case Study — Growth, Unit Economics & Channel Strategy*

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Prepared by Tanay Raj | Independent Strategy Case Analysis | 2026

**₹271Cr**

FY25 Expenses

**\$8.2B**

Category by 2033

**15 Cities**

Phase 1 Rollout



## OVERVIEW

# Executive Summary

Yoga Bar is growing revenue, but losing more money to do it. A 90% surge in marketing spend has not translated into proportionate revenue efficiency — net losses widened even as ITC-backed leadership pushes for accelerated expansion. Quick-commerce offers a structurally lower customer-acquisition-cost channel that, paired with disciplined SKU prioritization, can convert growth into profitable growth.

**₹1.35**

spent to earn ₹1 of revenue (FY25)

**+90%**

YoY surge in marketing spend  
(₹25.9Cr → ₹49Cr)

**₹69.5Cr**

net loss in FY25, widened 15% YoY

**\$4.4B → \$8.2B**

India health-snacking market, 2025 →  
2033

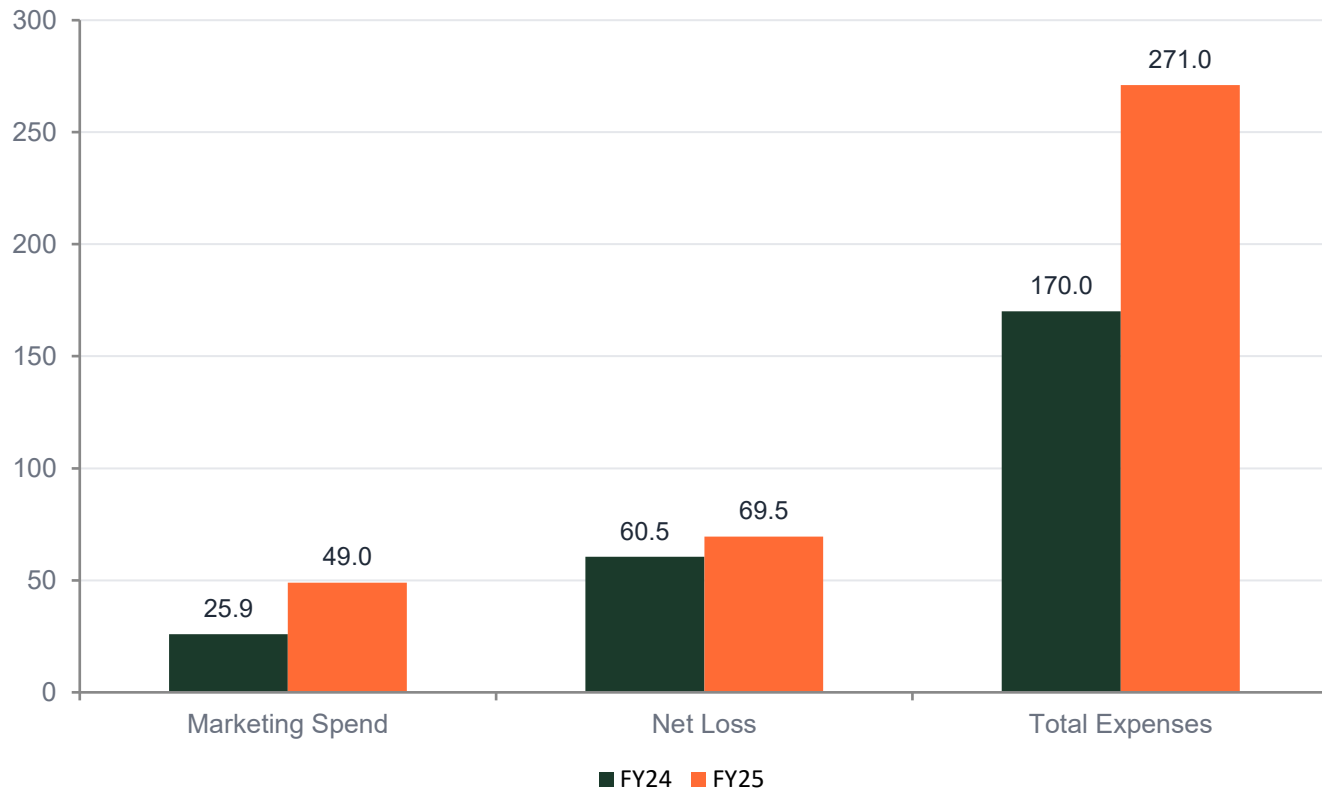
## RECOMMENDATION

Shift growth investment toward a quick-commerce-first GTM strategy, guided by a new Profitable Velocity Index (PVI) that prioritizes SKUs by margin, price-band fit, and shelf velocity — targeting a 12–15% blended CAC reduction and ~\$10–12M incremental ARR within 2 years.



## Growth Is Outpacing Profitable Unit Economics

FY24 vs FY25 (₹ Crore)



**₹271Cr**

Total FY25 expenses, up 59% YoY

**15%**

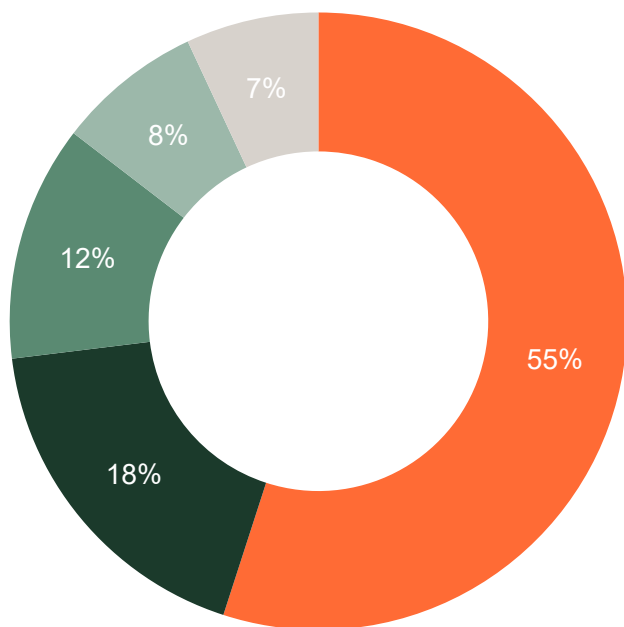
YoY increase in net loss

ITC holds a 39% stake (₹175Cr, May 2023) and appointed ex-ITC Foods executive Anuj Bansal as CBO in Jan 2026 — signaling pressure to scale faster, even as the current growth engine (marketing-led acquisition) burns cash disproportionately.



## Where the FY25 Cost Base Is Going

FY25 Total Expenses: ₹271Cr



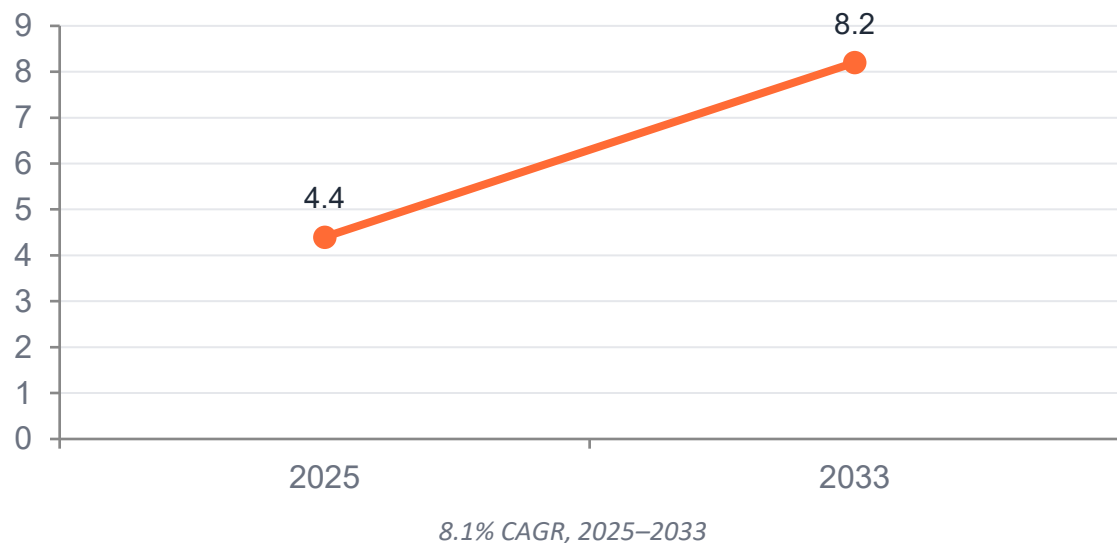
■ Material Costs ■ Marketing ■ Employee Costs ■ Freight Outward ■ Other

| COST LINE       | AMOUNT   | SHARE | WHY IT MATTERS                                        |
|-----------------|----------|-------|-------------------------------------------------------|
| Material Costs  | ₹149Cr   | 55%   | Primary margin-compression driver — direct PVI target |
| Marketing       | ₹49Cr    | 18%   | Up 90% YoY; funding high-CAC customer acquisition     |
| Employee Costs  | ₹33.5Cr  | 12%   | Scaling with headcount as ITC pushes expansion        |
| Freight Outward | ₹20.65Cr | 8%    | Logistics cost — relevant to channel-mix decisions    |
| Other           | ₹18.85Cr | 7%    | Admin, overheads, and miscellaneous costs             |

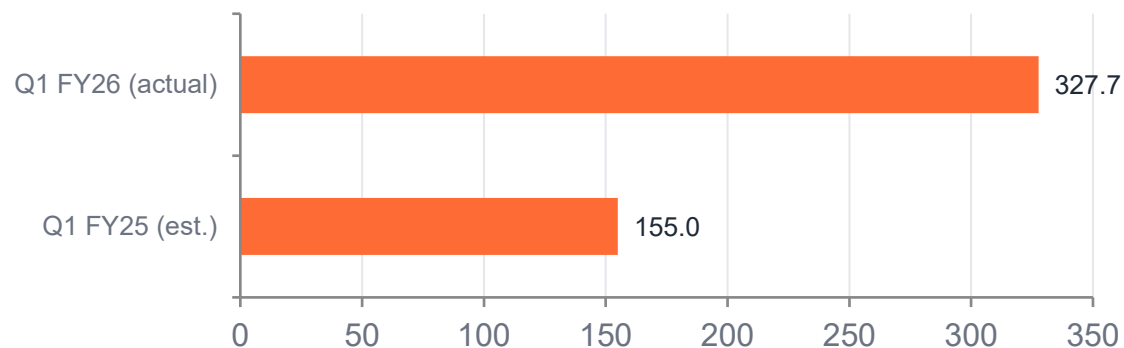


# Quick-Commerce Is the Lower-CAC Growth Channel

India Health-Focused Snacking Market (\$B)



Q1 Quick-Commerce Healthy-Snack GMV (₹Cr)



## Why Quick-Commerce Lowers CAC

- **Zero paid-discovery cost**

Products are found via in-app browsing, not paid media placement.

- **Impulse-purchase behavior**

10-minute delivery favors compact, well-priced SKUs over deliberated purchases.

- **Shelf placement > brand ads**

Dark-store visibility substitutes for expensive brand-awareness spend.

- **Faster repeat-order habits**

High app-open frequency accelerates the path to repeat purchase vs. D2C.

*Q1 FY25 GMV is a back-calculated estimate from the disclosed “more than doubled YoY” figure.*



# The Framework: Profitable Velocity Index (PVI)

1

## Contribution Margin

Weights SKUs by post-material-cost margin — targeting the 55% cost-ratio problem.

2

## Price-Band Fit

Rewards SKUs priced ₹150–700 — the sweet spot for dark-store shelf economics.

3

## Sell-Through Velocity

Scores comparable dark-store turnover speed, avoiding slow-moving inventory.

$$\text{PVI Score} = w_1(\text{Contribution Margin}) + w_2(\text{Price-Band Fit}) + w_3(\text{Sell-Through Velocity})$$

Illustrative PVI Score Comparison (0–10 scale)

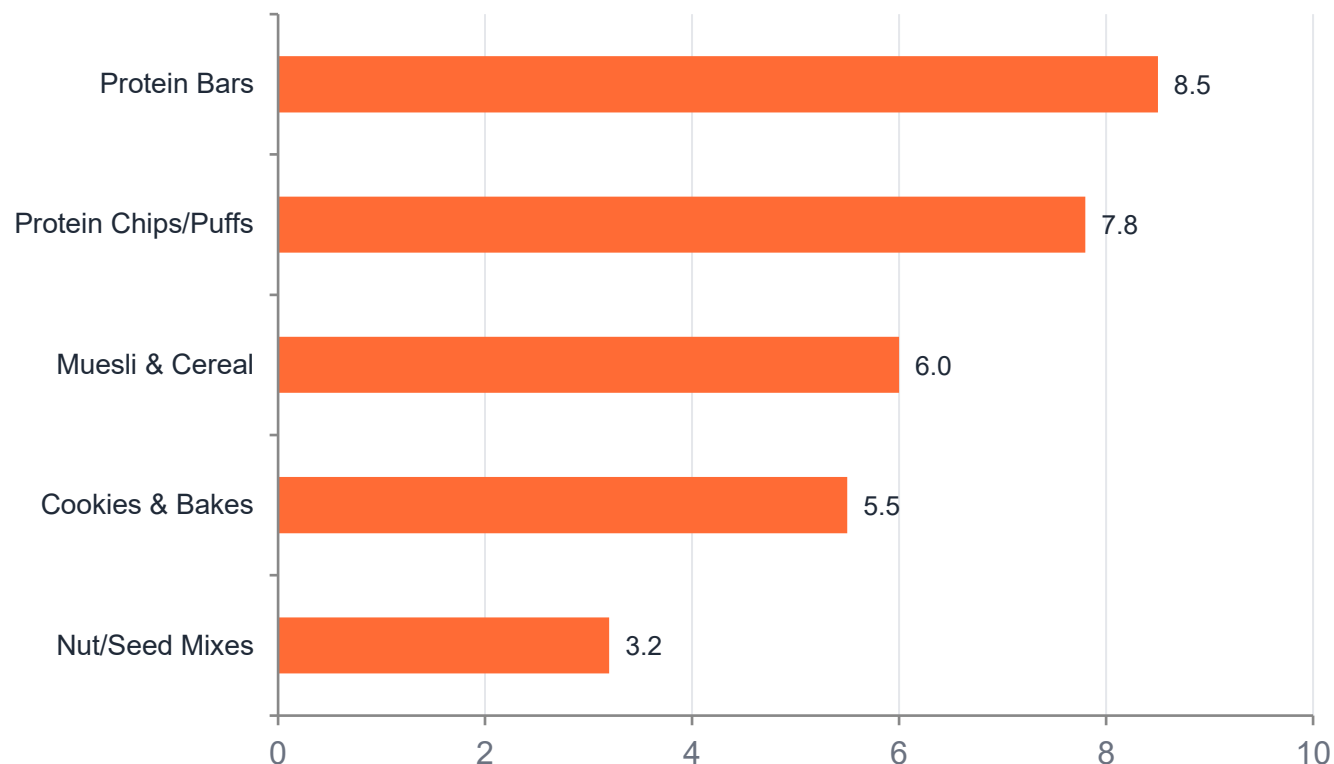




# Applying PVI: SKU Prioritization Output

Directional scoring using publicly known category positioning — to be recalibrated with Yoga Bar's actual SKU-level margin data.

Composite PVI Score by SKU Category



## Tier 1 — Prioritize

Protein Bars, Protein Chips/Puffs — launch range for quick-commerce.

## Tier 2 — Maintain

Muesli & Cereal, Cookies & Bakes — steady presence, no expansion push.

## Tier 3 — Deprioritize (QC)

Large-format Nut/Seed Mixes — better suited to general trade / D2C.



# Go-To-Market: A Phased, Demand-Timed Rollout

1

## Foundation • Months 1–3

List Tier 1 SKUs on Blinkit, Instamart, Zepto across top 15 metro clusters.

2

## Velocity • Months 4–9

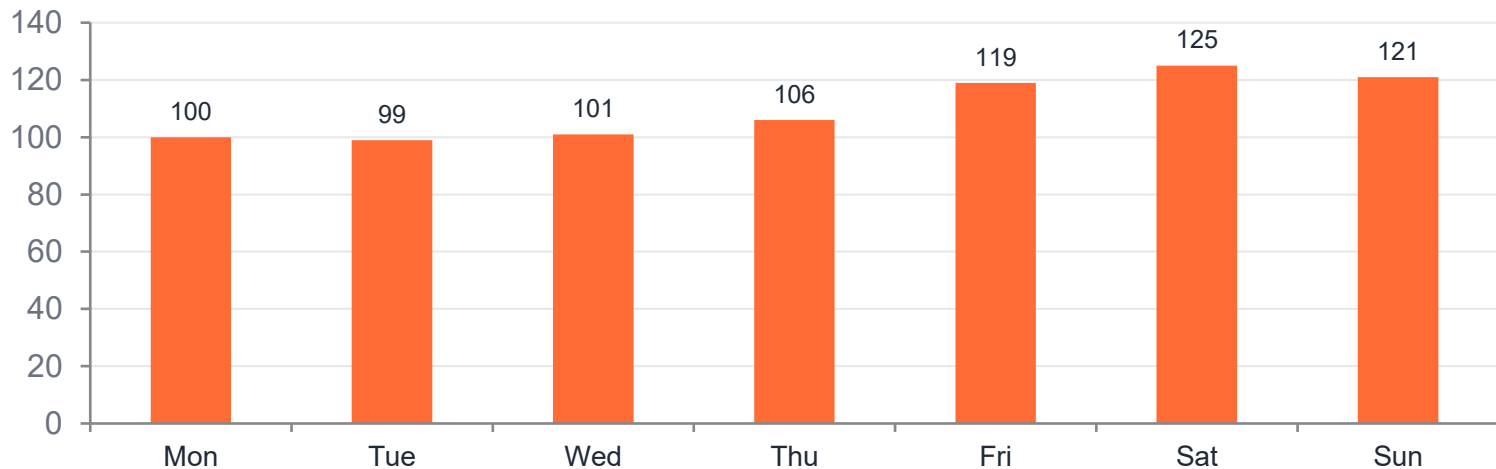
Launch flash-inventory drops timed to weekend demand; test platform bundling.

3

## Scale • Months 10–24

Expand to Tier-2 dark stores; shift budget from brand ads to platform placement.

Illustrative Weekly Order-Volume Index for Snacks/RTE Categories



### The Tactic

Order volume for snacks and ready-to-eat categories runs 20–25% higher Friday through Sunday. Flash-inventory drops and platform-featured placements are timed to this window to maximize sell-through per rupee of promotional spend.



IMPACT

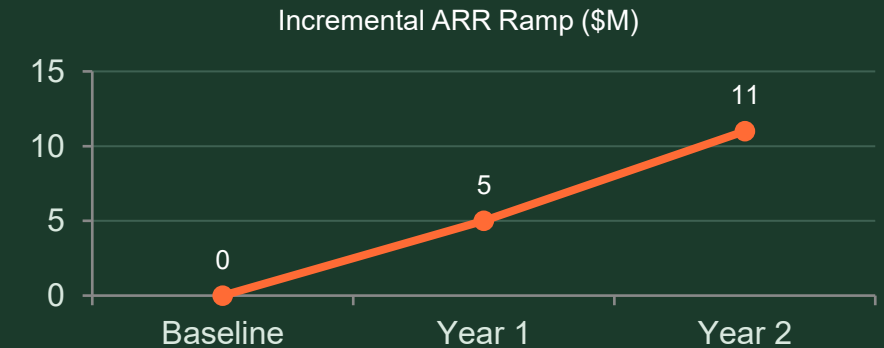
## Projected Financial Impact

**12–15%**

Blended CAC reduction vs. current marketing-led acquisition

**\$10–12M**

Incremental ARR at improved contribution margin, within 2 years



*These figures are analyst projections built on a stated methodology — not company-disclosed targets — and are intended as a defensible, assumption-transparent basis for the recommendation above.*

### BOTTOM LINE

**Yoga Bar doesn't need to spend more to grow — it needs to spend smarter. A disciplined, PVI-guided quick-commerce strategy converts today's marketing-fueled losses into tomorrow's profitable scale.**

# Sources & Methodology Notes

- Yoga Bar FY25 financial figures (total expenses, marketing spend, net loss, material/employee/freight costs) — company FY25 regulatory filings as reported in Indian business media.
- ITC's 39% stake acquisition (₹175Cr, May 2023) and CBO appointment (Jan 2026) — publicly reported corporate disclosures.
- India health-focused snacking market sizing (\$4.4B in 2025 → \$8.2B by 2033, 8.1% CAGR) — third-party market research estimate.
- Quick-commerce healthy-snack GMV (₹327.7Cr, Q1 FY26, "more than doubled YoY") — industry/platform-level reporting; Q1 FY25 figure is back-calculated.
- Weekend order-volume uplift (20–25% higher Fri–Sun for snacks/RTE) — industry reporting; the 7-day index chart is an illustrative distribution consistent with that range.
- Profitable Velocity Index (PVI), SKU-tier scores, GTM phasing, and all financial-impact projections are original analysis for this case study, not disclosed Yoga Bar targets.